

RSI

Spotting Overbought & Oversold Conditions — Lesson Explainer

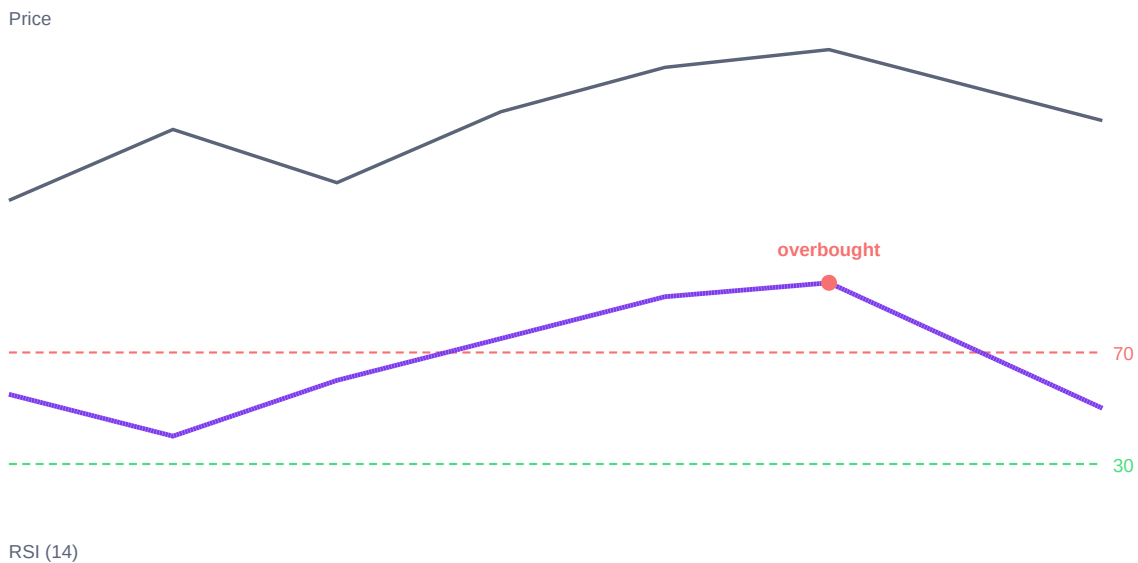
The Concept

The Relative Strength Index (RSI) is a momentum oscillator that compares the size of recent gains to recent losses, plotted on a scale of 0 to 100. It's typically calculated over a 14-period lookback.

RSI above 70 suggests an asset may be overbought - a pullback or pause becomes more likely. RSI below 30 suggests oversold - a bounce becomes more likely. These are guidelines, not hard rules.

Formula: $RSI = 100 - (100 / (1 + RS))$, where RS is the average gain over the lookback period divided by the average loss.

RSI Alongside Price



5 Things to Know About RSI

1. 70/30 are guidelines, not laws - a strong trend can keep RSI pinned above 70 (or below 30) for a long stretch.
2. Divergence is often more useful than the level itself - price making a new high while RSI makes a lower high is a classic warning.
3. Shorter lookback periods react faster but whipsaw more - 14 is the standard balance.
4. RSI works best paired with trend context - an oversold reading in a healthy uptrend pullback differs from one at a real breakdown.
5. RSI is a momentum tool, not a valuation tool - it says nothing about whether a stock is cheap or expensive.

4 Things to Check When Reading RSI

- Check for divergence first - compare RSI's recent peaks/troughs to price's.
- Read it with the trend - in a strong uptrend, treat dips toward 40-50 as the zone that matters.
- Don't trade the first touch - wait for RSI to actually turn back before treating a 70/30 cross as confirmation.
- Pair it with support/resistance - an oversold reading at a known support level is a stronger combination.

Worth knowing:

RSI describes recent momentum, not the future. A stock can stay 'overbought' for weeks in a strong trend, and an 'oversold' reading can keep falling further. Use it alongside trend and volume, never in isolation.

Quiz — Answer the questions, then check the key on the next page

1. What does RSI measure?

- A. The company's price-to-earnings ratio
- B. The total trading volume over a period
- C. The size of recent gains relative to recent losses, on a 0-100 scale
- D. The distance between support and resistance

2. What does an RSI reading above 70 traditionally suggest?

- A. The stock is definitely about to crash
- B. The asset may be overbought - a pullback or pause becomes more likely
- C. The company has high debt
- D. Trading has been halted

3. What is "bearish divergence" in RSI?

- A. When RSI and price both make new highs together
- B. When RSI is exactly 50
- C. When volume falls to zero
- D. When price makes a new high but RSI makes a lower high

4. Why can RSI stay above 70 for weeks during a strong uptrend?

- A. 70/30 are guidelines, not hard rules - strong trends sustain overbought readings
- B. RSI can only go from 0-70, never higher
- C. It's always a data error
- D. Overbought readings automatically reset every Friday

5. Avg gain 2.4, avg loss 0.5 - is RSI closer to overbought or oversold?

- A. Oversold (RSI near 20)
- B. Exactly neutral (RSI = 50)
- C. Overbought (RSI well above 70)
- D. RSI cannot be calculated from this information

Answer Key

1. What does RSI measure?

Correct answer: C. The size of recent gains relative to recent losses, on a 0-100 scale

RSI compares average gains to average losses over a lookback period (typically 14) to produce a single 0-100 momentum reading.

2. What does an RSI reading above 70 traditionally suggest?

Correct answer: B. The asset may be overbought - a pullback or pause becomes more likely

Above 70 is the classic overbought zone - a signal to watch for exhaustion, not a guarantee of an immediate reversal.

3. What is "bearish divergence" in RSI?

Correct answer: D. When price makes a new high but RSI makes a lower high

Bearish divergence is often considered more informative than the raw overbought/oversold level.

4. Why can RSI stay above 70 for weeks during a strong uptrend?

Correct answer: A. 70/30 are guidelines, not hard rules - strong trends sustain overbought readings

RSI reflects recent momentum, not a countdown timer - a strong enough trend can keep it pinned in overbought territory.

5. Avg gain 2.4, avg loss 0.5 - is RSI closer to overbought or oversold?

Correct answer: C. Overbought (RSI well above 70)

$RS = 2.4 / 0.5 = 4.8$; $RSI = 100 - (100 / (1 + 4.8)) \sim 82.8$ - solidly overbought.